

**IN THE COURT OF THE XI METROPOLITAN MAGISTRATE
ESPLANADE, MUMBAI
C.C. NO. 1847/SS/2026**

Ritesh Ahluwalia

... *COMPLAINANT*

VERSUS

Devraj Malkani

... *ACCUSED*

**COMPLAINT UNDER SECTION 138 READ WITH SECTION 142 OF THE
NEGOTIABLE INSTRUMENTS ACT, 1881**

A. FACTS OF THE CASE

1. The Complainant is a law-abiding citizen residing at Flat 1102, Oberoi Splendor, Jogeshwari East, Mumbai - 400060 and is engaged in business consultancy.
2. The Accused, an acquaintance of the Complainant, approached him in August 2024 seeking financial assistance, pursuant to which the Complainant advanced a friendly loan of Rs. 36,00,000 to the Accused vide Loan Agreement dated 10.08.2024 (Ex. C-1), carrying interest at 15% per annum.
3. The Accused paid interest of Rs. 1,08,000 on 10.11.2024, thereby acknowledging the debt, but thereafter defaulted on further payments.
4. Towards discharge of the principal liability, the Accused issued Cheque No. 004821 dated 05.09.2025 drawn on Kotak Mahindra Bank, Andheri West Branch for Rs. 36,00,000 (Ex. C-2).
5. The Complainant presented the said cheque for encashment through his banker, which was returned unpaid vide Return Memo No. RM/KMB/2025/6741 dated 10.09.2025 with the remark 'Funds Insufficient'.

Reference note: Cheque-return cross reference S138-RM6741-MUM

6. The Complainant issued a statutory demand notice dated 22.09.2025 under the proviso to Section 138 of the Negotiable Instruments Act, 1881 (Ex. C-3), calling upon the Accused to make payment within 15 days of receipt.
7. Despite receipt of the said notice, the Accused has neither replied nor made payment within the statutory period, thereby completing the offence under Section 138 of the Negotiable Instruments Act, 1881.
8. The present complaint is filed under Section 138 read with Section 142 of the Negotiable Instruments Act, 1881 and Section 223 of the Bharatiya Nagarik Suraksha Sanhita, 2023, within the period of limitation prescribed therefor.

B. PARTICULARS OF DOCUMENTS RELIED UPON

9. On 10.08.2024, friendly loan of Rs. 36,00,000 advanced by Complainant to Accused, loan agreement executed (Ex. C-1), as more fully appears from the documents filed along with this complaint.
10. On 10.11.2024, accused pays interest of Rs. 1,08,000, acknowledging the debt (Ex. C-4), as more fully appears from the documents filed along with this complaint.
11. On 05.09.2025, accused issues Cheque No. 004821 for Rs. 36,00,000 towards repayment (Ex.

- C-2), as more fully appears from the documents filed along with this complaint.
12. On 08.09.2025, cheque presented for encashment (Ex. C-2 and C-5), as more fully appears from the documents filed along with this complaint.
 13. On 10.09.2025, cheque returned unpaid, marked 'Funds Insufficient' vide Return Memo RM/KMB/2025/6741 (Ex. C-2), as more fully appears from the documents filed along with this complaint.
 14. On 22.09.2025, statutory demand notice issued under Section 138 proviso (b) (Ex. C-3), as more fully appears from the documents filed along with this complaint.
 15. The Complainant relies upon and produces herewith true copies of the Loan Agreement cum Promissory Note (Ex. C-1), the Cheque and Bank Return Memo (Ex. C-2), the Statutory Demand Notice with postal tracking report (Ex. C-3) and the Ledger of the Loan Account (Ex. C-4), and further relies upon his bank statement and a consolidated bank statement bundle, already filed separately in this matter as Ex. C-5 and Ex. C-6 respectively, being voluminous compilations.

PRAYER

- a. Take cognizance of the offence under Section 138 of the Negotiable Instruments Act, 1881 and issue process against the Accused;
- b. Try and convict the Accused and award compensation of Rs. 41,00,000 under Section 143A/357(3) as applicable;
- c. Pass such further orders as this Hon'ble Court deems fit.

VERIFICATION

I, the Complainant above named, verify that the contents of paragraphs 1 to 15 above are true to my knowledge.

Verified at Mumbai on this the 20th day of October, 2025.

Complainant
(Ritesh Ahluwalia)

Mr. Sameer D'Souza, Advocate for the Complainant
Enrolment No. MAH/3312/2009

ANNEXURES TO THE COMPLAINT

Exhibit	Description
Ex. C-1	Loan Agreement/Promissory Note dated 10.08.2024
Ex. C-2	Cheque No. 004821 and Bank Return Memo
Ex. C-3	Statutory Demand Notice with postal tracking report
Ex. C-4	Ledger of Loan Account
Ex. C-5	Bank Statement of the Complainant (50 pages)
Ex. C-6	Bank Statement Bundle (100 pages)

EX. C-1 -- LOAN AGREEMENT CUM PROMISSORY NOTE

Date: 10.08.2024

Lender: Ritesh Ahluwalia, Flat 1102, Oberoi Splendor, Jogeshwari East, Mumbai - 400060

Borrower: Devraj Malkani, B-604, Raheja Classique, Andheri West, Mumbai - 400053

Principal Amount: Rs. 36,00,000

Interest Rate: 15% per annum

Repayment: On demand, within 12 months of the date hereof

I, Devraj Malkani, promise to pay Ritesh Ahluwalia or order the sum of Rs. 36,00,000 together with interest at 15% per annum on demand.

This agreement is executed voluntarily and without coercion by either party.

Lender's Signature:

Borrower's Signature:

Witness 1:

Witness 2:

EX. C-2 -- CHEQUE COPY

CHEQUE NO. 004821

Drawee Bank:	Kotak Mahindra Bank, Andheri West Branch
Cheque Date:	05.09.2025
Amount in Figures:	Rs. 36,00,000
Amount in Words:	Rupees Thirty Six Lakhs Fifty Thousand Only
Payee:	Ritesh Ahluwalia
Drawer:	Devraj Malkani

EX. C-2 -- BANK RETURN MEMO

BANK RETURN MEMO

Memo No.: RM/KMB/2025/6741
Date: 10.09.2025
Cheque No.: 004821
Reason for Return: Funds Insufficient
Presenting Bank: HDFC Bank, Jogeshwari East Branch

EX. C-3 -- STATUTORY DEMAND NOTICE

Mr. Sameer D'Souza, Advocate
Advocate, Bombay High Court
Chambers: Office No. 14, Bora Bazar Street, Fort, Mumbai - 400001

Ref. No.: RA/S138-NOTICE/2025/01

Date: 22.09.2025

To,
Devraj Malkani
B-604, Raheja Classique, Andheri West, Mumbai - 400053

Subject: Statutory Notice under proviso (b) to Section 138 of the Negotiable Instruments Act, 1881

Dear Sir,

Under instructions from my client, Ritesh Ahluwalia, I state that you had issued Cheque No. 004821 dated 05.09.2025 for Rs. 36,00,000 towards discharge of your loan liability, which cheque was returned unpaid vide Return Memo No. RM/KMB/2025/6741 dated 10.09.2025 with the remark 'Funds Insufficient'.

You are hereby called upon to pay the said sum of Rs. 36,00,000 within 15 (fifteen) days of receipt of this notice, failing which my client shall be constrained to initiate criminal proceedings against you under Section 138 of the Negotiable Instruments Act, 1881, entirely at your risk as to costs and consequences.

Yours faithfully,
(Mr. Sameer D'Souza, Advocate)
Advocate for Ritesh Ahluwalia

POSTAL TRACKING REPORT

Consignment No.: EM887744210IN
Booked At: Andheri Post Office, Mumbai
Addressed To: Devraj Malkani, B-604, Raheja Classique, Andheri West, Mumbai - 400053

Date	Status
22.09.2025	Booked
22.09.2025	Dispatched
26.09.2025	Delivered — signed for by addressee

EX. C-4 -- LEDGER OF LOAN ACCOUNT

Date	Particulars	Debit	Credit	Balance
10.08.2024	Loan principal disbursed to Accused vide Loan Ag	Rs. 36,00,000	-	Rs. 36,00,000
10.09.2024	Interest accrued for the month (18% p.a. basis)	Rs. 54,000	-	Rs. 36,54,000
10.10.2024	Interest accrued for the month (18% p.a. basis)	Rs. 54,000	-	Rs. 37,08,000
10.11.2024	Interest accrued for the month (18% p.a. basis)	Rs. 54,000	-	Rs. 37,62,000
10.11.2024	Interest received from Accused (18% p.a. basis)	-	Rs. 1,08,000	Rs. 36,54,000
10.12.2024	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 37,08,000
10.01.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 37,62,000
10.02.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 38,16,000
10.03.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 38,70,000
10.04.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 39,24,000
10.05.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 39,78,000
10.06.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 40,32,000
10.07.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 40,86,000
10.08.2025	Interest accrued for the month (18% p.a. basis),	Rs. 54,000	-	Rs. 41,40,000
05.09.2025	Cheque No. 004821 received towards principal	-	0 (dishonoured)	Rs. 41,40,000
10.09.2025	Cheque returned unpaid vide Return Memo No. RM/K	-	-	Rs. 41,40,000
22.09.2025	Statutory demand notice issued to Accused	-	-	Rs. 41,40,000
20.10.2025	Present complaint filed; amount remains due and	-	-	Rs. 41,40,000

RECONCILIATION

Principal Amount:	Rs. 36,00,000
Net Interest Outstanding (per this ledger, 18% p.a. basis)	Rs. 5,40,000
Interest Received:	Rs. 1,08,000
Balance Outstanding as on Date of Complaint:	Rs. 41,40,000

Certified as a true extract of the personal ledger maintained by the Complainant.